

IFRS 2 Share-based payment

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Share-based payment

Definition

Share-based payment has become increasingly common. Share-based payment occurs when an entity buys goods or services from other parties (such as employees or suppliers) and:

- settles the amounts payable by issuing shares or share options, or
- incurs liabilities for cash payments based on its share price.

Equity-settled share-based payments

The entity acquires goods or service in exchange for **equity instruments** (shares or share option) of the entity

Cash-settled share-based payments

The entity acquires goods or service in exchange for **amounts of cash** measured by reference to **the entity's share price**

IFRS 2 requires that all share-based payment transactions must be **recognized** in the financial statements when the transaction takes place